FROM THE

EDITOR-IN-CHIEF

We tend to think the worst of our politicians in view of the past behaviour of some of them. But sometimes, they surprise us. Like Finance Minister Nirmala Sitharaman did with her recent budget. It is generally assumed that the prime objective of a politician is to do whatever it takes to win elections. With five state elections around the corner, including for the critical state of Uttar Pradesh, the general expectation was that it would be a budget full of sops to woo the electorate. However, the FM managed to resist the temptation and present a budget reflecting fiscal prudence despite the pressures of the pandemic.

Ninety-three years ago, the Great Depression led to global unemployment, homelessness and collapse of trade. Studying this cataclysmic event, the economist John Maynard Keynes argued for government intervention through public policy. That's what Sitharaman has done in spades. She has announced Rs 7.5 lakh crore in capital expenditure, an increase of 35 per cent, to bring the flagging economy back to pre-pandemic levels. Her budget is laser-focused on big public spending on modern infrastructure, powered by seven growth engines—roads, railways, airports, ports, mass transport, waterways and logistics infrastructure. The government hopes this infrastructure push will generate 6 million jobs in five years. It has set aside a hefty Rs 60,000 crore for the piped water mission and promised to build 8 million houses for the urban and rural poor. It has extended interest-free loans of Rs 1 lakh crore for the states to prioritise capex. It has committed to buying Rs 1 lakh crore worth of military equipment from Indian industry, a move that will trigger a multiplier effect in the economy and generate jobs.



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Between 2018 and 2021, India suffered its most prolonged slowdown since 1991, according to data from the Centre for Monitoring Indian Economy (CMIE). Unemployment in India averaged 7.2 per cent in that period when global unemployment rates were 5.7 per cent. Ten million persons are thought to have lost their jobs in the second wave of the pandemic. The economy contracted by 7.3 per cent in 2020-21. Wholesale Price Inflation has been running in double digits, with the price rise in the fuel and power segments over 20 per cent. Linked to it was the fiscal deficit, the difference between what a government spends and what it earns—this has been pegged at 6.9 per cent for 2022. The government cannot continue to spend without affecting the economy. Its borrowings are already high; debt repayment makes up 20 per cent of its budget. Nearly 80 per cent of the budget is swallowed by pre-committed liabilities. There is thus very little room for manoeuvre for the government. The shadow of Omicron makes it only worse. Mercifully, the third wave was not as devastating as the second, but it has sowed uncertainty.

There was a sliver of good news—India's GDP grew at 8.4 per cent in the second quarter of this fiscal as economic activity picked up. In January, GST collections touched a record Rs 1.4 lakh crore. India will remain the world's fastest-growing major economy in 2021-24, as per the World Bank and IMF, with the latter projecting a growth of 7.1 per cent in real GDP for 2023-24. The government's Economic Survey estimates a GDP growth rate of 9.2 per cent for 2021-22. Economists say we need to grow at 10 per cent to get back to where we were before the pandemic. This explains the government's push on public infrastructure to kickstart the economy.

The government has avoided creating an urban MNREGA that would pay wages for jobs in urban areas. They have slashed rural MNREGA allocations by 25 per cent. This indicates two things—either the government believes the rural job situation is not as acute, or it is relying more on the multiplier effect of infrastructure development than on doles. But this multiplier effect will take time to filter through the economy and create the much-needed jobs. There has been some attempt to assuage farmers by committing Rs 2.37 lakh crore to procure wheat and paddy from 16.3 million farmers.

The government could have done more to immediately put money in the hands of those who have suffered the most from the pandemic—the middle class and the poor—but it just didn't have the funds if it was to meet its fiscal deficit target. Especially as its Rs 1.75 lakh crore privatisation plan, which it announced with a big bang in the previous budget, ended in a whimper. From April to December 2021, it had realised only Rs 9,364 crore. The government is hoping that the LIC listing will boost this figure by March. Even more disappointing is the fact that the figure for disinvestment for the next financial year has come down to Rs 65,000 crore, which is less than half of what it was in the previous year. We have special reports on what impact the economic downturn has had on the Indian middle class and the poor in this issue.

The perennial problem in India is implementation. Large sums are allocated, and grand schemes announced, but they don't get spent as budgeted. The central government had until December spent only 59.6 per cent of the expenditure it had earmarked in its 2021 budget. It had targeted a capex of Rs 5.54 lakh crore for the year but achieved only 49 per cent of it (Rs 2.73 lakh crore) until November. This is the biggest challenge before this government—to get the labyrinthine and inert bureaucracy to deliver. Executive Editor M.G. Arun examines how to fix the spending gap in a special report. Our budget package, 'Betting Big on Infrastructure', put together by our bureau, assesses whether the budget can put the economy on the fast track to growth and employment. We also consulted our Board of India Today Economists (BITE) for its views.

The government also outlined a blueprint for the Amrit Kaal, the next 25 years until the centenary of Indian independence in 2047. This is a laudable goal. But we need to remember another of Keynes' arguments—that governments need to solve problems in the short term rather than wait for market forces to fix things over the long run. For, as he wrote, "in the long run, we are all dead". That apart, this government is betting that its investments in infrastructure fructify in two years and the economy starts humming. Just in time for the General Election in 2024.



(Aroon Purie)